There are several different types of insurance to explore but you don't need every type of insurance that is available. For instance, everyone should have health insurance, but only those with a car need to take car insurance.

Insurance is a way of managing risks. For instance, when you take insurance, you transfer the cost of a potential loss to the insurance company in exchange for a fee, known as the premium. If you think you don't need insurance, then you need to ask yourself if you are financially prepared to self-insure. If there is a gap, then insure yourself.

As long as you are aware of what the coverage is and what it's meant to protect, any policy is good regardless of whether it's ever used or not. In fact, insurance is one bet that you may wish to lose in life, even at the expense of losing money by way of the premiums you pay. But, having picked a policy that acts as a financial backup, you can safeguard your financial goals.

↘ NOT A ONE-TIME EXERCISE

Arriving at the need for insurance changes dynamically, or at least as one enters different stages in life or faces different circumstances. Sticking to an insurance plan is a very crucial part of financial planning, but one should annually review the existing insurance cover and make the required adjustments. For instance, if your debts are going down, you may not need a high life insurance cover. Likewise, if you have sold your car, you should close the policy on it.

There may be times when your original intent for a policy may no longer be appropriate given your current goals. For example, you may have repaid your home loan, leaving your life insurance policy to bridge the debt redundant. There has also been a lot of innovation in the development of new policies providing alternatives to some of your existing policies.

Another factor for considering a relook at insurance needs are life-changing events such as marriage, additions to your family, changes in employer-provided insurance, retirement and other important developments that impact your financial plans.

One more important role that insurance plays is in ensuring peace of mind. No amount of money can replace your life and health, but you can rest assured knowing that if anything happened to you, your family's financial security would be assisted by insurance.

Sadly, insurance is often misunderstood. When you take insurance, spend some time poring over the terms and conditions, the coverage the policy provides and, more importantly, understand the features of the policy and when it comes to use. When understood correctly, insurance is a key pillar of a sound financial plan. ■

–Narayan Krishnamurthy

5 ESSENTIAL TYPES OF INSURANCE

There are five vital kinds of insurance—health, life, motor, home and disability



HEALTH INSURANCE: Often available through employers, health insurance keeps you covered when it comes to any expected or unexpected medical expenses arising from hospitalisation. It is advisable to take a health insurance personally than depend on one provided by the employer. The premium charges on this policy depend on coverage, age and existing health conditions.



LIFE INSURANCE: Payable when you die, it allows beneficiaries, such as your surviving spouse, dependants or children, to get funds they can use to manage their lifestyle expenses. It can also address outstanding debt and bridge financial goals that may be impacted after your death. Life insurance costs vary, depending on factors such as age, health, gender and type of coverage.



MOTOR INSURANCE: If you have a car or bike, motor insurance becomes mandatory. It addresses accident risk associated with third party liability. The policy is a contractual agreement between you and an insurance company that protects you against financial loss resulting from theft or accidental damage. Motor insurance costs vary, depending on the vehicle cost and the location where the vehicle will mostly be operated.



HOME INSURANCE: With home insurance, you can protect your home against any disaster-related damages such as fire, vandalism or theft. This policy doesn't automatically cover damages due to calamities such as earthquake or flood, but one could explore the same if the house is in a vulnerable area. Home insurance costs vary, depending on the cost of house and the value of things inside the house.



DISABILITY INSURANCE: Disability insurance basically replaces a percentage of your lost income if you're unable to work for extended periods of time. Disability insurance costs vary, depending on factors such as age, health and the profession of the insured.